Production-support submission and follow-up

Mailing, correspondence, supplemental information and payment records retained by MIC and CBP regarding the 2024 production-cost inquiry.

Transmission memorandum - signed copy

From: Anna Reyes, MIC | To: Commissioner of CBP, c/o Port Director, Laredo | Signed: 11 October 2024 | Certified mail 12 October 2024

RE: relay programme values and production-support payments - confidential voluntary submission. MIC imports IR24-6A industrial relays made by RelayForge in Mexico. Our preliminary review indicates that entered prices for 2023-2024 merchandise through Laredo and El Paso may have omitted value furnished indirectly by our purchasing affiliate for production tools, replacement equipment, commissioning and manufacturing-design work. The commercial invoices state $148 per relay and do not separately include the production-support items.

Potentially affected merchandise includes the IR24-6A family shipped from approximately March 2023 through October 2024; we are separately monitoring entries still in process. Not every cost or shipment is necessarily affected. We have found supplier and MSS capital records, including D17 tool procurement and a later EC-77 project, but have not yet completed legal characterisation, location-of-performance review or entry allocation. The resulting declarations may have understated the value of certain entries. We are not representing that all engineering and support expenditures are dutiable.

We will provide the available true and accurate cost and entry-level information as the accounting and manufacturing work is completed within 30 days, or seek a formal extension where justified. We ask CBP to review this as a voluntary disclosure of the circumstances described; MIC intends to tender any actual loss when calculated or within the applicable period following CBP calculation.

Enclosures identified on transmittal: supplier purchase requisitions D17 and EC-77; preliminary entry list by port and month; accounting contact details. Copies to El Paso FP&F are requested for consolidation.

Postal and port intake proofs

Original certified-mail receipt: USPS RR 7019 1120 0001 0405 1172 | Dated 12 October 2024 | Return receipt: 17 October

Counter receipt: mailed 12 October 2024 at 10:31 CT, Laredo, TX, certified mail return receipt requested. Postal return delivery stamp: accepted at CBP Laredo 17 October at 11:19 CT. Separate courier tracking: disclosure copy to El Paso delivered 21 October.

MIC internal upload metadata: a PDF copy was placed in the corporate portal October 11; the portal copy was not sent to CBP until the certified mailing was transmitted.

Request for additional time

From: outside-counsel@tradecounsel.example | To: Laredo FP&F | 7 November 2024

The company cannot complete the producer records for all programme costs by November 11. Some services appear to combine engineering performed in Monterrey and Austin, and obtaining vendor time records will require additional time. Please extend the deadline for unknown information by 18 days, through November 29, while retaining the circumstances identified in the original mailing.

FP&F response, 8 November 2024: Request granted as to the unknown information described in your submission. Complete the additional information by November 29. This response does not constitute acceptance of prior-disclosure status or a ruling that later transactions fall within its scope.

Cost and transaction supplement

From: MIC external counsel | Received: 26 November 2024 | Reference: valuation file val-supp-02

We enclose the following data categories from the AP system: buyer-owned D17 tooling, the subsequent replacement insert, EC-77 engineering invoices net of project credit, line commissioning and separately booked freight and field-test services. The review initially included all 37 IR24-6A entries, but our accounting team does not say that every component is dutiable or used in every production run.

The itemised AP records identify which work occurred in the United States and Mexico. Production asset allocation schedules and entry records are attached as separate workpapers. The company contests any suggestion that a programme reservation fee should be added without evidence showing the fee is an assist or part of price actually paid or payable. We have not treated the original $148 invoice price as an inventory valuation of the supplied tools.

The supplement uses the term "manufacturing support" for D17, EC-77 and the commissioning items. It does not independently address every later alleged incorrect origin claim or another company's potential actions in the importation.

Written calculation and deposit extension

CBP FP&F calculation letter issued: 9 January 2025 | To MIC and counsel | Reference: val-241012

CBP presently calculates actual loss of duties and fees attributable to the described value omissions as USD 8,180.70. The parties may supply competing calculation data. For purposes of payment following CBP's written calculation under the prior-disclosure procedure, tender is required within 30 days of this notice unless extended for good cause.

MIC request, 23 January 2025: Please extend payment through February 21 while bank signatory changes are approved and AP allocations are completed. CBP FP&F officer approval dated January 24: extension granted through February 21 on the specified calculation without deciding the eligibility of the disclosure.

MIC accounting remittance advice, 13 February 2025: USD 8,180.70 via wire ref 62-08218. CBP receipt 14 February. Additional unallocated payment for USD 760 was posted separately in May.

Subsequent correspondence on scope

CBP enquiry letter: 12 July 2025 | Reply by MIC counsel: 22 July 2025

CBP: Your 2024 mailing referred generally to buyer-supported tooling and manufacturing design. We are reviewing whether later-discovered capacity reservation charges and the third-party commissioning programme were identified with sufficient detail in that disclosure, and whether claims involving origin were separately disclosed. No final statutory treatment is determined.

MIC: The original letter referred to physical tooling, commissioning and manufacturing-design work, and supplied the purchase-requisition categories then available. We do not contend that the same communication cured all inaccurate origin claims. The capacity fee was separately budgeted and may be non-dutiable for reasons independent of disclosure scope.